

Management Summary Report – NexaTel

To: Chief Customer Officer, NexaTel

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Executive Summary

NexaTel maintains an overall customer retention rate of approximately 81.55%, while the churn rate stands at 18.45%, indicating that nearly one in five customers has discontinued the service. Although the retention campaign success rate is strong at around 82.42%, customer churn continues to reduce recurring revenue, especially among Premium customers. The dashboard analysis also shows that unresolved complaints, longer complaint resolution times and network-related issues influence customer experience and increase churn risk. Monthly Recurring Revenue (MRR) remains healthy overall but shows signs of decline in the latest period, highlighting the financial impact of churn. Overall, NexaTel has a solid customer base and effective retention initiatives, but improving service quality and protecting high-value customers should be the immediate business priority.

Top 3 Findings

- Premium customers generate the highest revenue loss due to churn (approximately ■1.27 million). Although this segment represents valuable customers, losing even a small number has a significant impact on recurring revenue.
- Retention campaigns are performing well with an overall success rate of approximately 82.42%. This indicates that personalized customer engagement is effective and should continue to be expanded for high-risk customers.
- Customer support performance remains an important driver of churn. Moderate-severity complaints form the largest complaint category, while Service Quality and Connection-related issues require the longest average resolution time, reducing customer satisfaction.

Risks Identified

- Churn rate of 18.45% remains high enough to reduce long-term revenue growth.
- Premium customers contribute the largest share of revenue lost to churn, increasing financial risk.
- Unresolved complaints and delayed issue resolution may encourage additional customers to leave.
- The recent decline in Monthly Recurring Revenue suggests continued churn could affect future profitability.
- States or regions with weaker network performance and higher dropped-call rates may experience higher customer dissatisfaction.

Opportunities

- Prioritize Premium and other high-value customers with personalized retention campaigns and loyalty benefits.
- Improve complaint handling by reducing resolution time for Service Quality and Connection issues.
- Use churn trends, tenure and customer segments to identify at-risk customers before they leave.
- Strengthen network performance in regions showing poor quality metrics to improve customer experience.

- Expand successful campaign offers such as OTT bundles and bill-waiver promotions to similar customer groups.

Recommendations

1. Launch targeted retention campaigns for Premium customers using personalized offers, loyalty rewards and proactive follow-up.
2. Reduce complaint resolution time by setting service-level targets, monitoring unresolved complaints daily and prioritizing severe customer issues.
3. Improve network quality in regions with higher dropped-call rates through infrastructure upgrades and continuous monitoring.
4. Review churn, MRR, campaign performance and complaint KPIs every month through executive dashboards so corrective actions can be taken quickly.
5. Develop an early-warning churn model using customer tenure, complaint history, usage behaviour and payment patterns to identify customers likely to leave.

Conclusion

NexaTel is in a strong position with a healthy retention rate and highly successful retention campaigns. However, revenue leakage caused by customer churn, particularly among Premium customers, remains a major concern. Improving network quality, resolving complaints faster and focusing retention efforts on high-value customers will help protect recurring revenue and strengthen long-term customer loyalty. Management should continue monitoring these business indicators regularly to ensure that improvement initiatives deliver measurable results.